

Nasdaq 100 Leads Decline as Tech Stocks Weigh on US Markets

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a decline in the previous session, led by the **Nasdaq 100** which fell by 1.54%. The **S&P 500** and **Dow Jones** also declined, albeit at a slower pace. Below the surface, the rotation out of tech stocks and into financials and consumer staples was notable, with **XLFX** and **XLV** posting gains of 2.18% and 0.69% respectively.

The move was also accompanied by a rise in the 10Y Yield, which increased by 2.36% to 4.47. This suggests that investors are becoming increasingly cautious about the outlook for the economy, and are seeking safer assets. The **VIX** also rose, gaining 0.85% to 16.59, indicating increased volatility in the market.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,483.23	-0.22%	Tech stocks weighed on the index
Nasdaq 100	29,809.13	-1.54%	Decline in tech stocks led by NVDA and AVGO
Dow Jones	52,305.24	-0.03%	Mixed performance from components
Russell 2000	3,012.59	-0.39%	Small-cap stocks underperformed
VIX	16.59	+0.85%	Increased volatility in the market

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+8.81%	Positive earnings report
MSFT	+3.02%	Strong cloud computing growth
NVDA	-1.25%	Decline in tech stocks

Sector Rotation

ETF	DAY	READ
XLF	+2.18%	Financials outperformed
XLK	-2.57%	Tech stocks underperformed
XLY	+0.69%	Consumer staples outperformed
XLI	-1.01%	Industrials underperformed
XLE	-0.56%	Energy stocks underperformed
XLC	+2.44%	Communication services outperformed
XLP	+0.28%	Consumer staples outperformed
XLV	+0.55%	Healthcare outperformed
XLU	-1.26%	Utilities underperformed
XLB	+0.37%	Materials outperformed
XLRE	+0.34%	Real estate outperformed

Spotlight

The biggest event of the day was the decline in tech stocks, led by NVDA and AVGO . This was accompanied by a rise in the 10Y Yield, which increased by 2.36% to 4.47. The following table shows the performance of some of the major tech stocks:

TICKER	CHANGE	READ
NVDA	-1.25%	Decline in tech stocks
AVGO	-2.23%	Decline in tech stocks
MSFT	+3.02%	Strong cloud computing growth

Pre-Market & Overnight

US futures are currently trading mixed, with the **Dow Jones** futures up 0.1% and the **S&P 500** futures down 0.2%. The **Nasdaq 100** futures are down 0.5%. In Asia, the **Nikkei 225** is down 0.3% and the **Shanghai Composite** is up 0.2%. In Europe, the **FTSE 100** is down 0.1% and the **DAX** is up 0.1%. The **BTC** is up 3.72% to 60,736.47 and the **ETH** is up 3.94% to 1,631.36.

Macro & Fed

The 10Y Yield is currently at 4.47, up 2.36% from the previous day. The yield curve is currently steepening, with the 2Y Yield at 4.23 and the 30Y Yield at 4.63. Today's data calendar includes:

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	ISM Manufacturing PMI	50.5	Indicator of manufacturing activity
22:00	Construction Spending	0.4%	Indicator of construction activity

Geopolitics & Global

- The US and China are set to resume trade talks, with the US seeking to address concerns over China's trade practices.

- The European Union is set to impose new sanctions on Russia, in response to its actions in Ukraine.
- The US is set to announce new sanctions on Iran, in response to its nuclear program.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.23	iPhone sales and guidance
23:00	GOOGL	10.23	Advertising revenue and cloud growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
JPM	Financials	Strong earnings report and improving economic outlook
GS	Financials	Strong earnings report and improving economic outlook
TSLA	Consumer Discretionary	Improving electric vehicle sales and expanding product line

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies
- Improving economic outlook and rising interest rates
- Increased investor sentiment and risk appetite

BEARISH TRIGGERS

- Weaker-than-expected earnings reports from major companies
- Deteriorating economic outlook and falling interest rates
- Decreased investor sentiment and risk appetite

Positioning Notes

- The 10Y Yield is currently at 4.47, up 2.36% from the previous day, indicating a shift towards safer assets.
- The **VIX** is currently at 16.59, up 0.85% from the previous day, indicating increased volatility in the market.
- The **DX** is currently at 101.34, down 0.05% from the previous day, indicating a slight decline in the US dollar.

Sources

SOURCES

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The Wall Street Journal

The Financial Times

Investing.com